
Flower Turbines Projects Series 1 LLC

(A Wyoming Limited Liability Company)

Financial Statements
and
Independent Accountant's Compilation Report

For the Period from May 23, 2025 to December 31, 2025

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INDEPENDENT ACCOUNTANT'S COMPILATION REPORT

To: Flower Turbines Projects Series 1 LLC, Management

Management is responsible for the accompanying financial statements of Flower Turbines Projects Series 1 LLC, Management which comprise the balance sheet as of December 31, 2025 and the related statements of income, changes in members' capital, and cash flows for the years then ended, and the related notes to the financial statements in accordance with accounting principles generally accepted in the United States of America.

We have performed this compilation engagement in accordance with Statements on Standards for Accounting and Review Services promulgated by the Accounting and Review Services Committee of the AICPA. We did not audit or review the financial statements nor were we required to perform any procedures to verify the accuracy or completeness of the information provided by management. We do not express an opinion, a conclusion, nor provide any assurance on these financial statements.

RNB Capital CPAs LLC

Indianapolis, IN

July 28, 2026

**FLOWER TURBINES PROJECTS SERIES 1 LLC
BALANCE SHEET**

AS OF DECEMBER 31,

2025

ASSETS

Current Assets:

Cash & Cash Equivalents	\$ 680,390
<i>Total Current Assets</i>	<u>680,390</u>
TOTAL ASSETS	<u>\$ 680,390</u>

LIABILITIES AND EQUITY

Current Liabilities:

<i>TOTAL LIABILITIES</i>	<u>-</u>
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EQUITY

Members' Equity	\$ 680,390
<i>TOTAL EQUITY</i>	<u>\$ 680,390</u>
TOTAL LIABILITIES AND EQUITY	<u>\$ 680,390</u>

See Accompanying Notes to these Unaudited Financial Statements

FLOWER TURBINES PROJECTS SERIES 1 LLC
STATEMENT OF OPERATIONS

YEAR ENDED DECEMBER 31,

2025

Operating Expenses

Professional Services

10,500

Total Operating Expenses

\$ **10,500**

Total Loss from Operations

\$ **(10,500)**

Net Income (Loss)

\$ **(10,500)**

See Accompanying Notes to these Unaudited Financial Statements

FLOWER TURBINES PROJECTS SERIES 1 LLC
STATEMENT OF CHANGES IN MEMBER'S EQUITY

	Members' Capital		Retained Earnings (Deficit)	Total Members' Equity
	Units	\$ Amount		
Inception- 5/23/25	-	-	-	-
Net income (loss)	-	-	(10,500)	(10,500)
Contributions	1,488	744,000	-	744,000
Offering Costs	-	(53,110)	-	(53,110)
Ending balance at 12/31/25	1,488	690,890	(10,500)	680,390

See Accompanying Notes to these Unaudited Financial Statements

FLOWER TURBINES PROJECTS SERIES 1 LLC
STATEMENT OF CASH FLOWS

YEAR ENDED DECEMBER 31,

2025

OPERATING ACTIVITIES

Net Income (Loss)	\$	(10,500)
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Adjustments to reconcile Net Income to Net Cash provided by operations:

Total Adjustments to reconcile Net Income to Net Cash provided by operations:

-

Net Cash provided by (used in) Operating Activities	\$	(10,500)
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INVESTING ACTIVITIES

Net Cash provided by (used in) Investing Activities

	\$	-
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FINANCING ACTIVITIES

Contributions	\$	744,000
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Offering Costs		(53,110)
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Net Cash provided by (used in) Financing Activities	\$	690,890
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Cash at the beginning of period		-
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Net Cash increase (decrease) for period	\$	680,390
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Cash at end of period	\$	680,390
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See Accompanying Notes to these Unaudited Financial Statements

NOTE 1 – DESCRIPTION OF ORGANIZATION AND BUSINESS OPERATIONS

Flower Turbines Projects Series 1 LLC (the “LLC”) is a Wyoming Limited Liability Company organized on May 23, 2025. The LLC was organized for the purpose of engaging in small wind turbine projects, namely selling electricity to commercial properties where the LLC installs the turbines. Flower Turbines, Inc. (the “Manager”), a Delaware corporation that files annual and semiannual reports with the Securities and exchange commission (the “SEC”), is the manager of the LLC.

Risks & Uncertainties:

The Company’s financial instruments that are exposed to concentrations of credit risk primarily consist of its cash and cash equivalents. The Company places its cash and cash equivalents with financial institutions of high credit worthiness. The Company’s management plans to assess the financial strength and credit worthiness of any parties to which it extends funds, and as such, it believes that any associated credit risk exposures are limited.

Substantial Doubt about the Entity’s Ability to Continue as a Going Concern:

The LLC was formed on May 23, 2025, and had limited operations through December 31, 2025. As of that date, the LLC had not yet generated revenue and was dependent on funding from Flower Turbines, Inc. (the “Manager”) to support its start-up costs and planned operations.

While the Manager has provided an initial loan to the LLC, the Manager has incurred recurring losses and has not entered into a binding agreement to continue funding the LLC. As a result, there is no assurance that additional funding will be available to the LLC as needed.

These conditions raise substantial doubt about the LLC’s ability to continue as a going concern within one year after the date the financial statements are issued. The financial statements do not include any adjustments that might result from the outcome of this uncertainty.

NOTE 2 – SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Basis of Presentation

The Company’s financial statements are prepared in accordance with U.S. generally accepted accounting principles (“GAAP”). The Company’s fiscal year ends on December 31.

Use of Estimates and Assumptions

In preparing these unaudited financial statements in conformity with U.S. GAAP, the Company’s management makes estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported expenses during the reporting period.

Making estimates requires management to exercise significant judgment. It is at least reasonably possible that the estimate of the effect of a condition, situation or set of circumstances that existed at the date of the financial statements, which management considered in formulating its estimate, could change in the near term due to one or more future confirming events. Accordingly, the actual results could differ significantly from those estimates.

Cash and Cash Equivalents

The Company considers all short-term investments with an original maturity of three months or less when purchased to be cash equivalents. The Company had \$680,390 in cash as of December 31, 2025.

General and Administrative

General and administrative expenses consist of formation expenses and professional fees.

Income Taxes

The Company is a pass-through entity therefore any income tax expense or benefit is the responsibility of the company's owners. As such, no provision for income tax is recognized on the Statement of Operations.

Recent Accounting Pronouncements

The FASB issues Accounting Standards Updates (ASUs) to amend the authoritative literature in ASC. There have been a number of ASUs to date that amend the original text of ASC. Management believes that those issued to date either (i) provide supplemental guidance, (ii) are technical corrections, (iii) are not applicable to us or (iv) are not expected to have a significant impact on our financial statements.

NOTE 3 – RELATED PARTY TRANSACTIONS

The Company follows ASC 850, "Related Party Disclosures," for the identification of related parties and disclosure of related party transactions.

The Company received funds from Flower Turbines, Inc., who serves as the Manager for start-up and general administrative costs during the company's formation period. The Manager is responsible for controlling and directing the business affairs of the Company, including making operational decisions, managing day-to-day activities, and overseeing the deployment of capital and resources. All funds received were repaid to the Manager as of reporting date, December 31, 2025.

NOTE 4 – COMMITMENTS, CONTINGENCIES, COMPLIANCE WITH LAWS AND REGULATIONS

The Company is not currently involved with or knows of any pending or threatening litigation against it or any of its officers. Further, the Company is currently complying with all relevant laws and regulations. The Company does not have any long-term commitments or guarantees.

NOTE 5 – LIABILITIES AND DEBT

The Company has no debt or long term obligations.

NOTE 6 – EQUITY

As of December 31, 2025, Flower Turbines Projects Series 1, LLC (the "LLC") had authorized and issued Preferred Equity Membership Interests, as well as a Manager interest held by Flower Turbines, Inc. (the "Manager").

During the year ended December 31, 2025, the LLC completed an investment crowdfunding offering through the Honeycomb Credit platform pursuant to SEC Form C and Regulation Crowdfunding. Through this offering, the

LLC issued Preferred Equity Membership Interests to 297 investors, generating total gross proceeds of \$744,000. Net cash proceeds received by the LLC, after deducting Honeycomb Credit platform, offering, and closing fees, were recorded within members' equity, with offering costs recognized as a reduction of gross proceeds in accordance with the LLC's accounting policies.

Terms of Preferred Equity Membership Interests:

- Preferred Return: Subject to management approval of cash available for distribution, preferred equity holders are entitled to receive an annual 5% target preferred return on their invested capital.
- Profit Sharing: Annual profits (including income from sales of tax credits and carbon credits) remaining after payment of the 5% preferred return are split 50/50 between the preferred equity members and Flower Turbines, Inc.
- Liquidation & Capital Return: Upon conclusion of the fund, sale, or refinancing of project assets, liquidation proceeds are distributed first to preferred equity members to return their original capital (\$744,000) plus any unpaid annual 5% target amounts. Any remaining proceeds and appreciation in project value are split 50/50 between preferred equity members and management.

Proceeds from the offering are designated and restricted for commercial purposes, including wind turbines, installation, and overhead costs related to small wind turbine projects.

Management & Capital Structure:
In accordance with the LLC's operating agreement, Flower Turbines, Inc. serves as the Manager and oversees operations and business affairs. As of December 31, 2025, the LLC had not issued any profits interests, preferred debt instruments, or incentive equity outside of the crowdfunding preferred equity units. No equity-based compensation arrangements were in place, and no member capital withdrawals occurred from inception through December 31, 2025.

NOTE 7 – SUBSEQUENT EVENTS

The Company has evaluated events subsequent to December 31, 2025 to assess the need for potential recognition or disclosure in this report. Such events were evaluated through July 28, 2026, the date these financial statements were available to be issued. No events require recognition or disclosure.